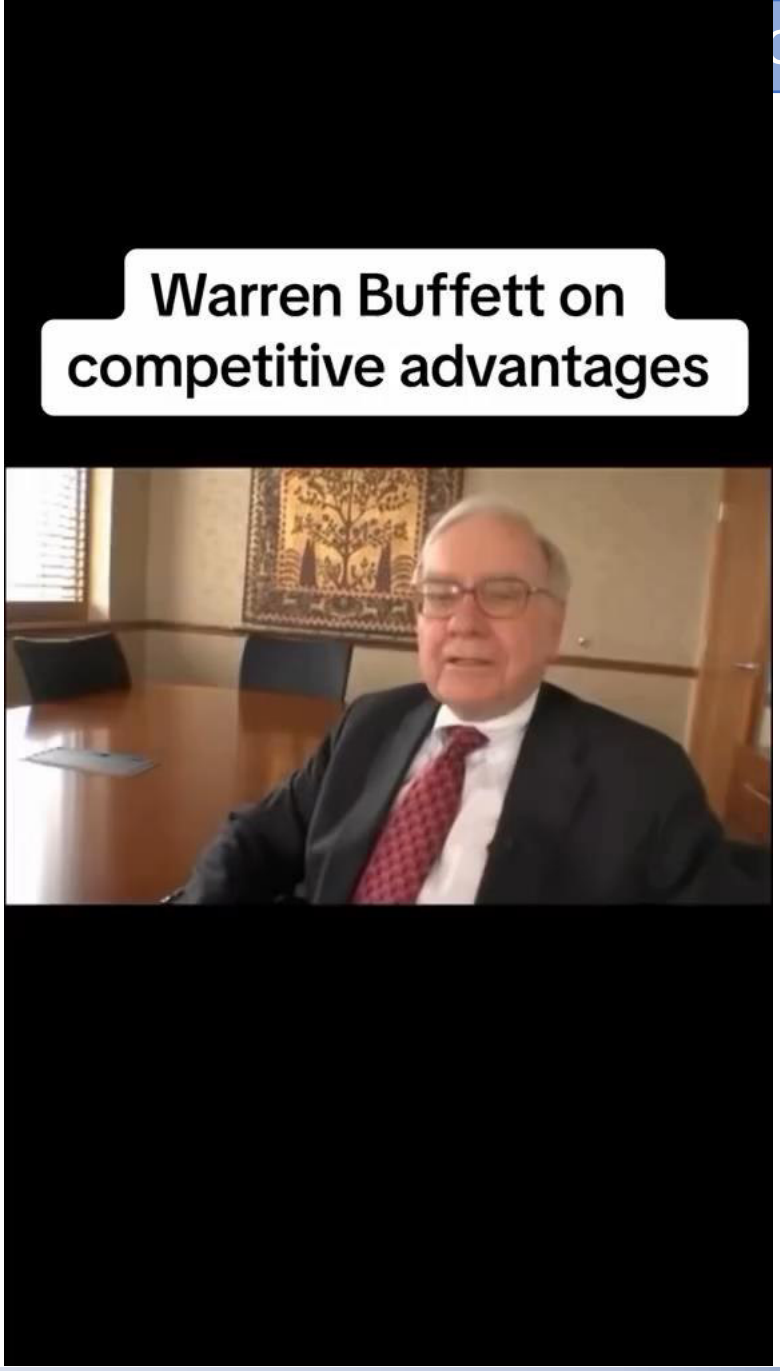
# COMPETITIVE ADVANTAGE

**Session 9**

Prof. Ricardo López Pérez

rlp@faculty.ie.edu


Warren Buffett on
competitive advantages

# Agenda for today

1. **What is a** competitive advantage?

2. **How** competitive advantages **are created**?

3. **Cost Advantage** & **Differentiation**

4. **Drivers** of **cost advantage**

5. **Drivers** of **differentiation advantage**

6. **Defending** a competitive advantage.

# What is a Competitive Advantage?

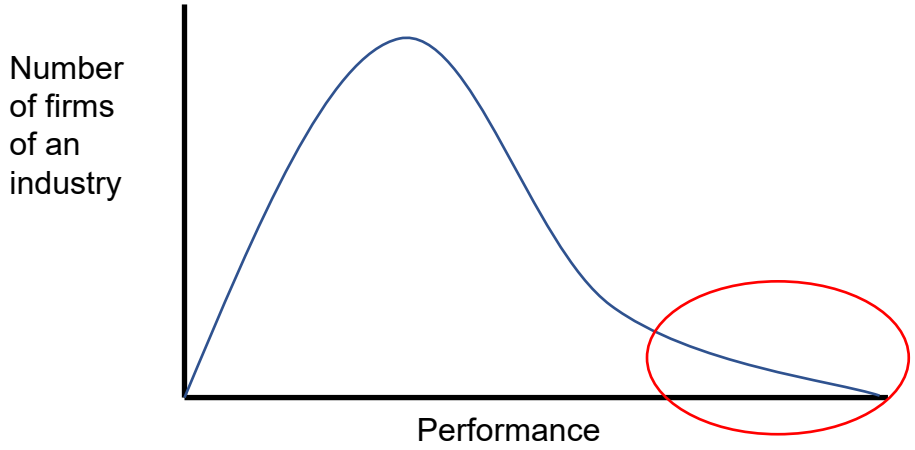
- **Competitive Advantage**: Any characteristic of an organization that makes it different from the others, placing it in a superior competitive position.

It should meet **at least 4 criteria**:

- It must be **relevant**.
- It must be **sustainable over time**.
- It is related to a **key success factor**.
- It should **translate into a higher return** compared to their opponents or the potential to do so.

# Competitive advantage

- Competitive Advantage = the ability of a firm to achieve above average profitability relative to its industry competitors (in the medium to long term)



# How can we proxy competitive advantage?

- **Short-term**:
  - Information about profitability in firms' balance sheet
  - Examples: ROI, ROE, ROA
- **Mid-/Long-term**:
  - Firms' market value
- **Long period:**
  - Check if they persistently perform better over the time
  - Check their rate of survival

1. **What is a** competitive advantage?

2. **How** competitive advantages **are created**?

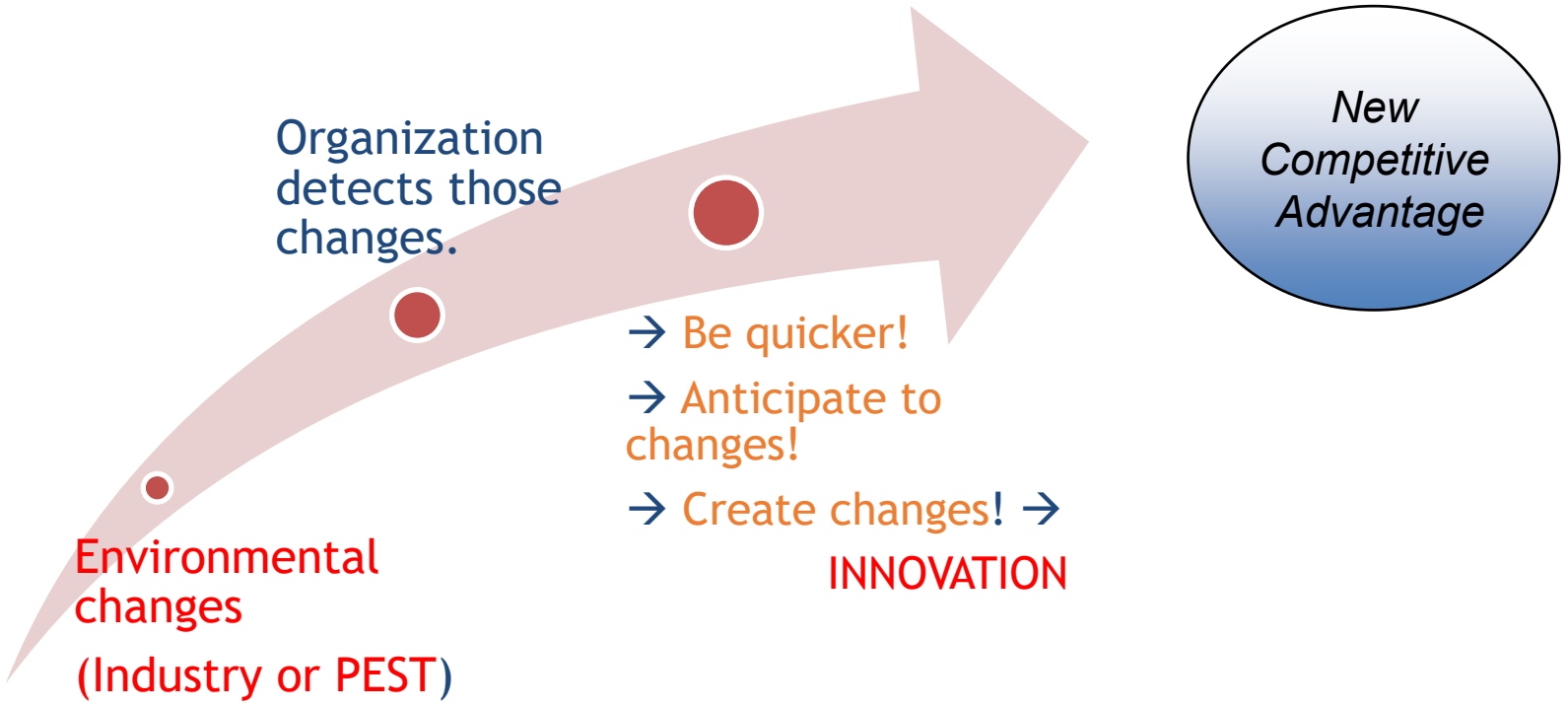
3. **Cost Advantage** & **Differentiation**

4. **Drivers** of **cost advantage**

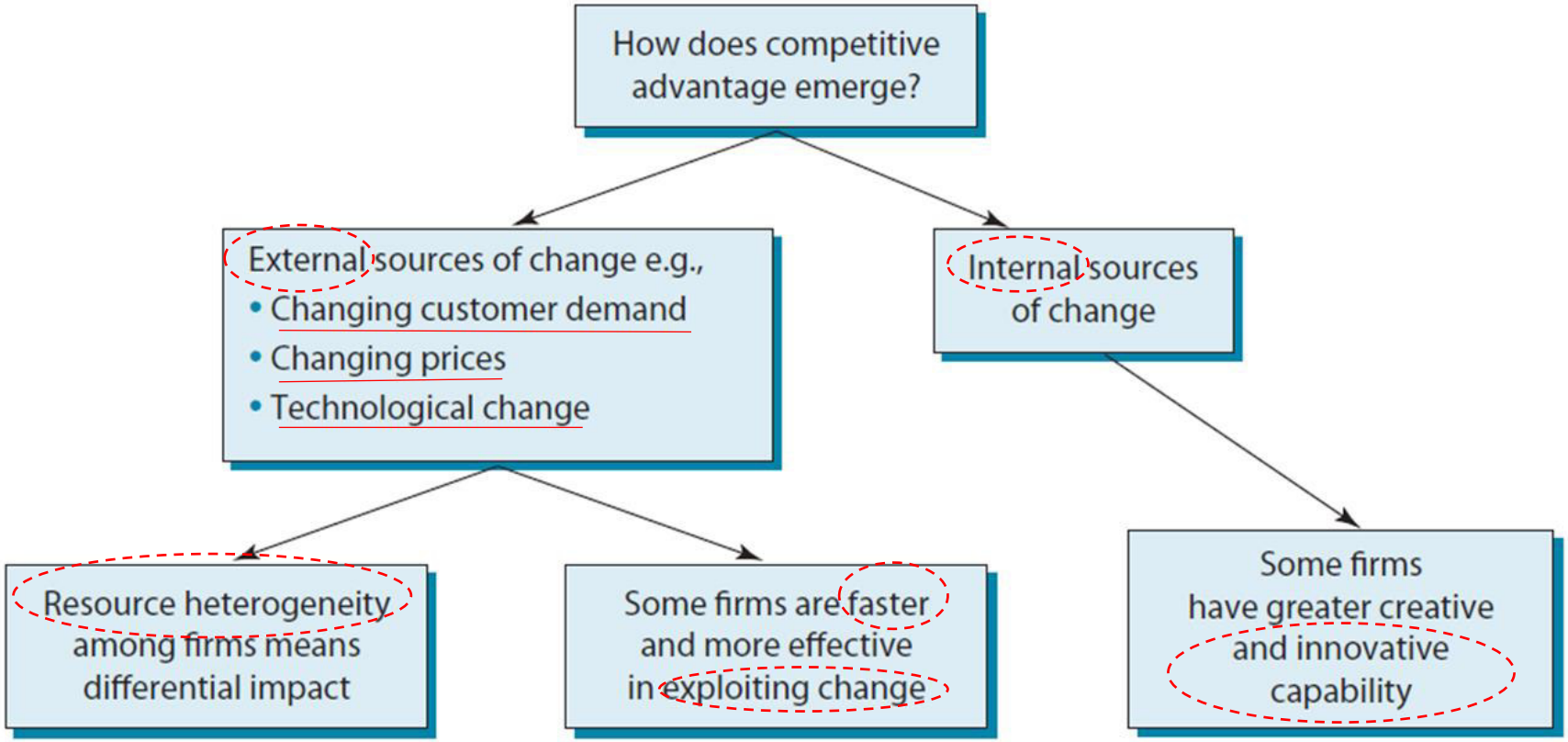
5. **Drivers** of **differentiation advantage**

6. **Defending** a competitive advantage.

Anticipating and taking advantage of the changes at the environment.



# How does a Competitive Advantage emerge?




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1. **What is a** competitive advantage?

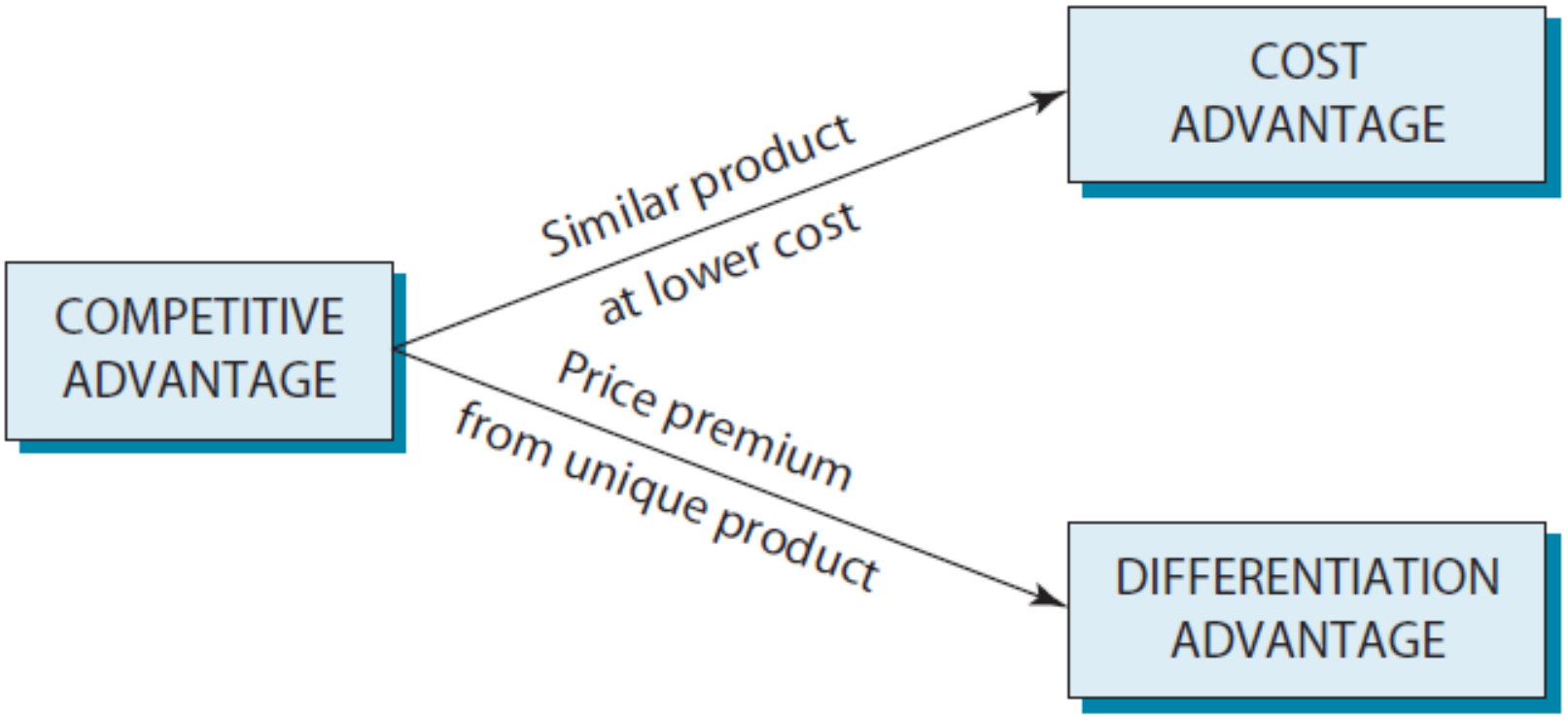
2. **How** competitive advantages **are created**?

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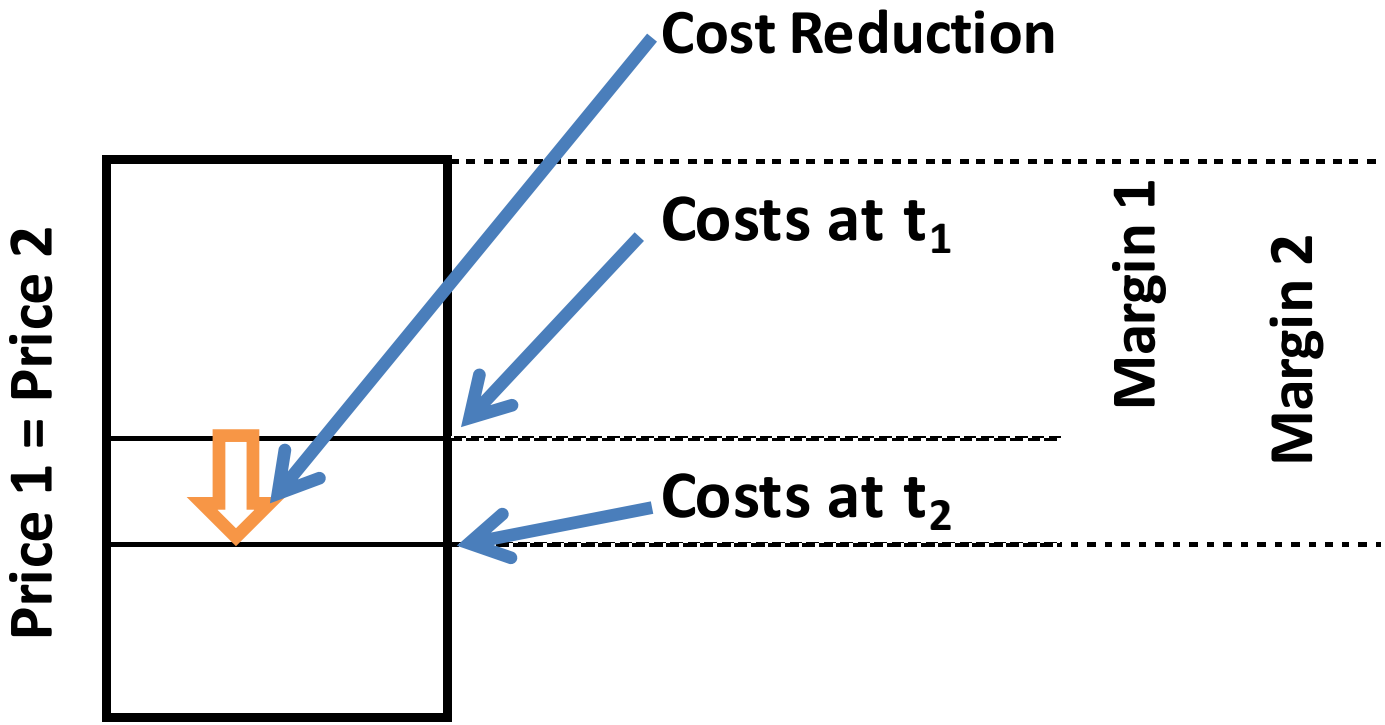



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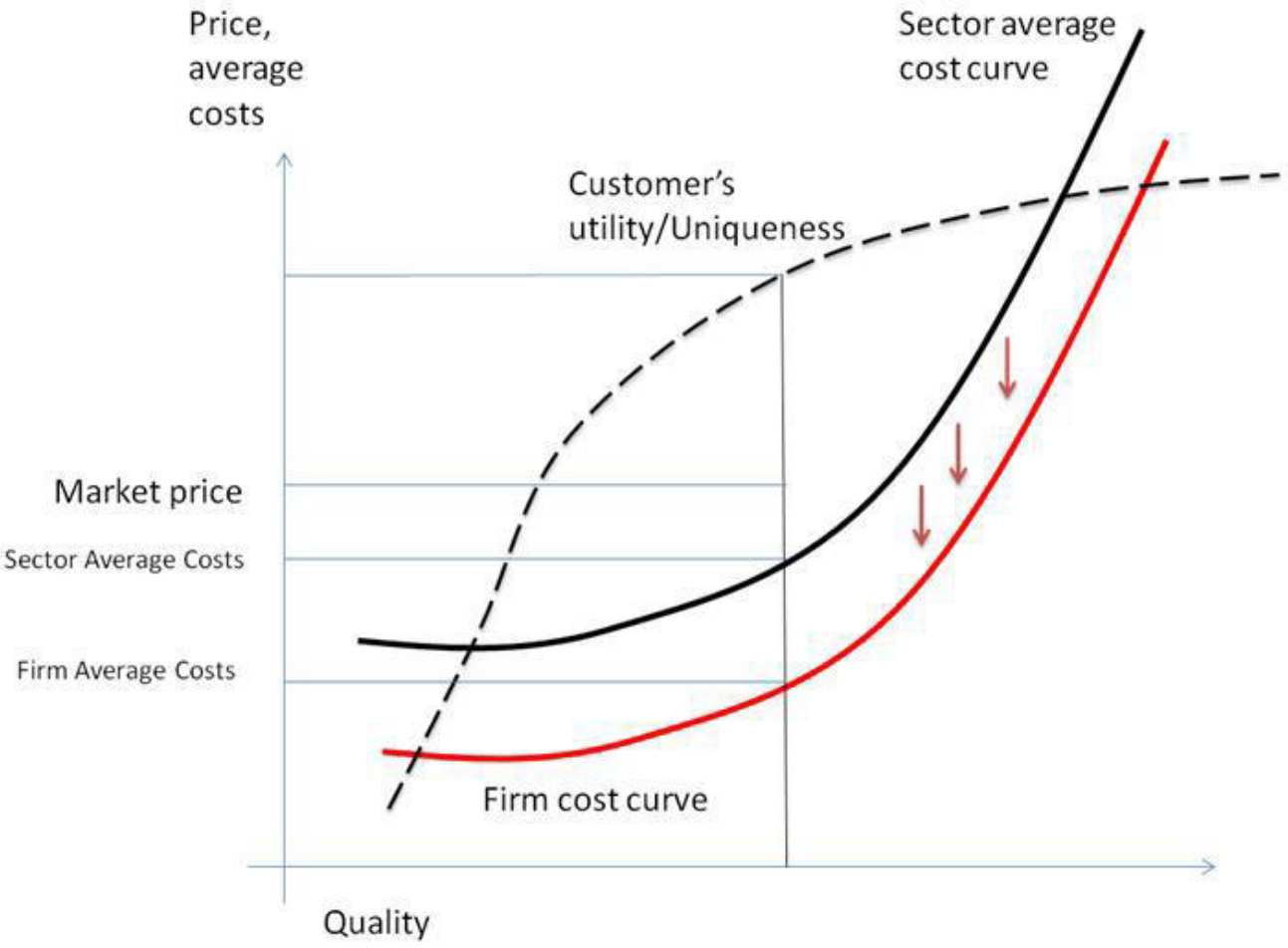
**Is it possible to change a company from Cost Advantage to Differentiation Advantage?**



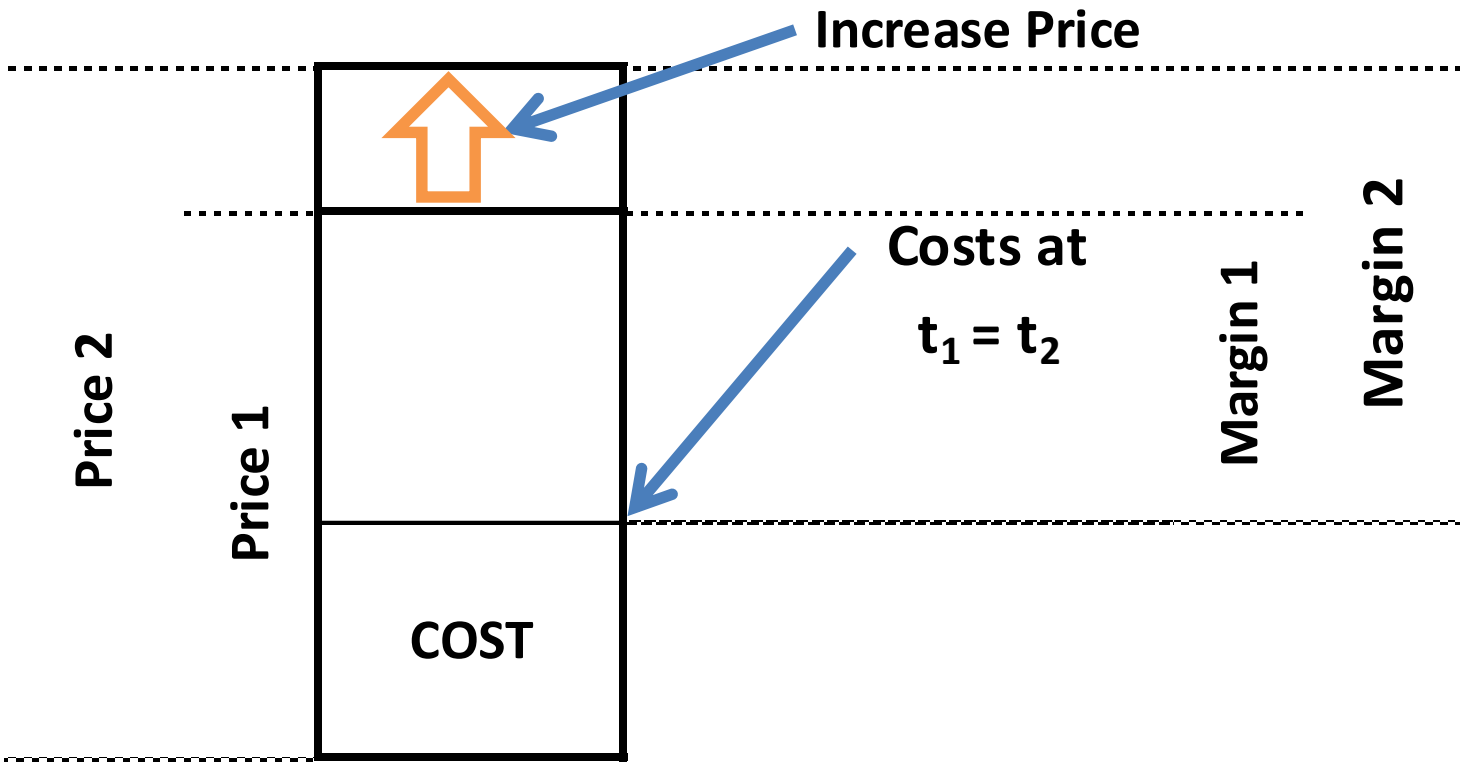
# COST ADVANTAGE



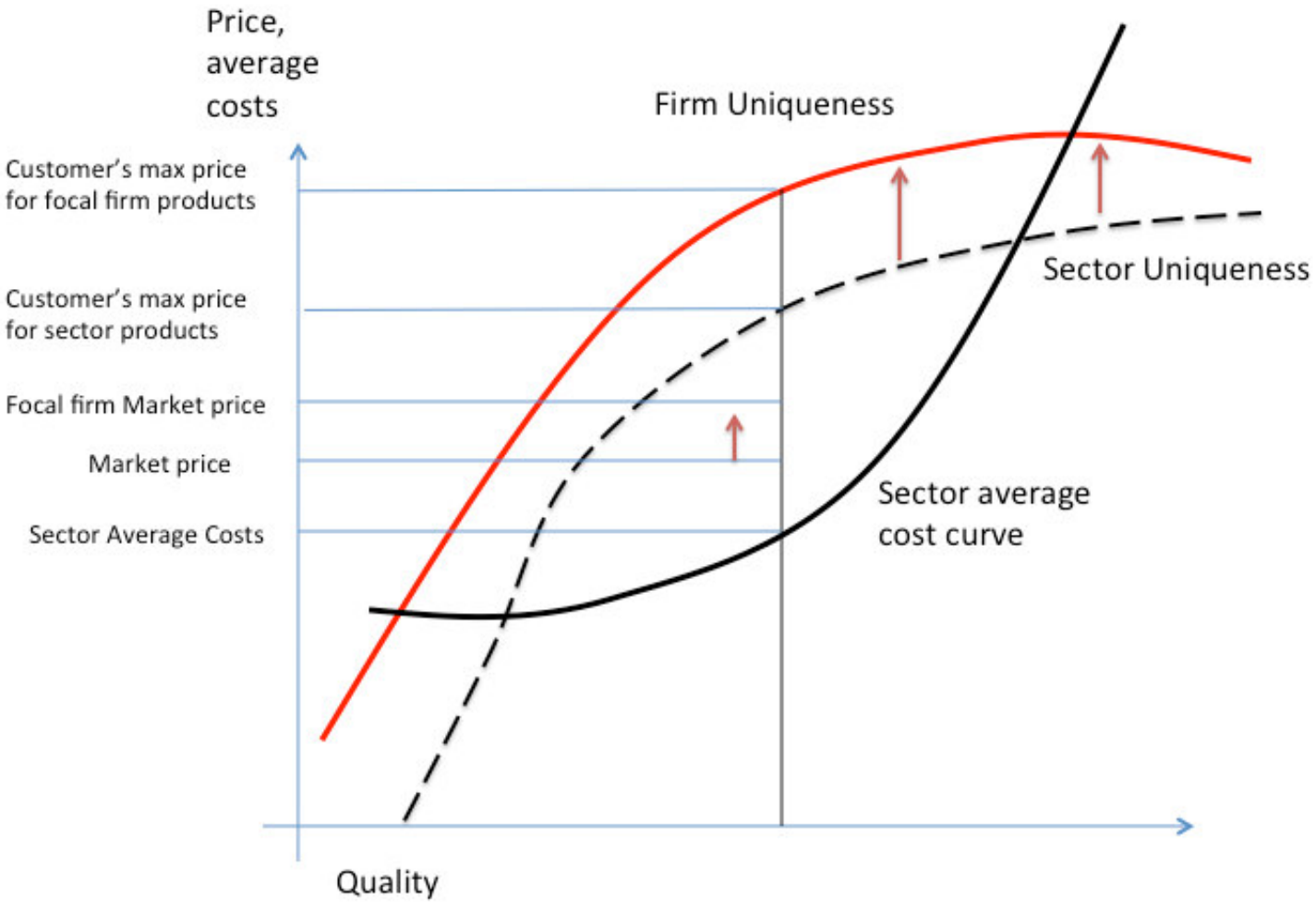
# COST ADVANTAGE



# DIFFERENTIATION ADVANTAGE



# DIFFERENTIATION ADVANTAGE



**Jeff Bezos explains Amazon's Competitive Advantage (7 mts.)** https://www.youtube.com/watch?v=psPf-tx9OwY



# SEGMENTATION

SEGMENTATION: When the competitive advantage is only for a certain segment of the market.

- Segmentation in cost leadership. Cost leader for a small market segment.

  Ex.: Decathlon basic prices for golf clubs

- Differentiation segmentation. Find a niche where it competes with in an oligopoly usually high prices are set.

  Ex .: Painting for yachts.

## DIFFERENTIATION VS. SEGMENTATION

- Differentiation: Concerns choices of how a firm distinguishes its offerings from those of its competitors →

  How the company is going to differentiate?

- Segmentation: Concerns choices of which customers, needs, localities a firm targets → Which segment or niche of customers?

**BASIC COMPETITIVE ADVANTAGES (M. Porter, 1982)**

| Competitive scope | | Cost Advantage | Differentiation |
|---|---|---|---|
| | Wide Industry (For all the market) | **COST LEADERSHIP**<br>*Amazon batteries* → *Duracel batteries*<br>*Carrefour coke* → *Coke*<br>*Decatlon t-shirt* → *Ralf Lauren* | **DIFFERENTIATION** |
| | Segmented (Some of the market) | **COST SEGMENTED**<br>*Decatlon cheap golf clubs* → *Callaway golf clubs*<br>*Industry wall painting* → *Yacht painting boats* | **DIFFERENTIATION SEGMENTED** |

# STUCK IN THE MIDDLE

According to Michael Porter an organization should choose between the two competitive advantages (cost leadership vs. differentiation); otherwise it would be "stuck in the middle". That is, not highlighted by the price nor the subjective quality of the product.

*Class discussion*:

- *Do you know any successful organization that combines both competitive advantages?*
- *Are the resources and capabilities necessary to succeed in either of the two strategies are different?*

1. What is a competitive advantage?

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4. **Drivers** of **Cost advantage**

5. Drivers of differentiation advantage

6. Defending a competitive advantage.

# COST LEADERSHIP

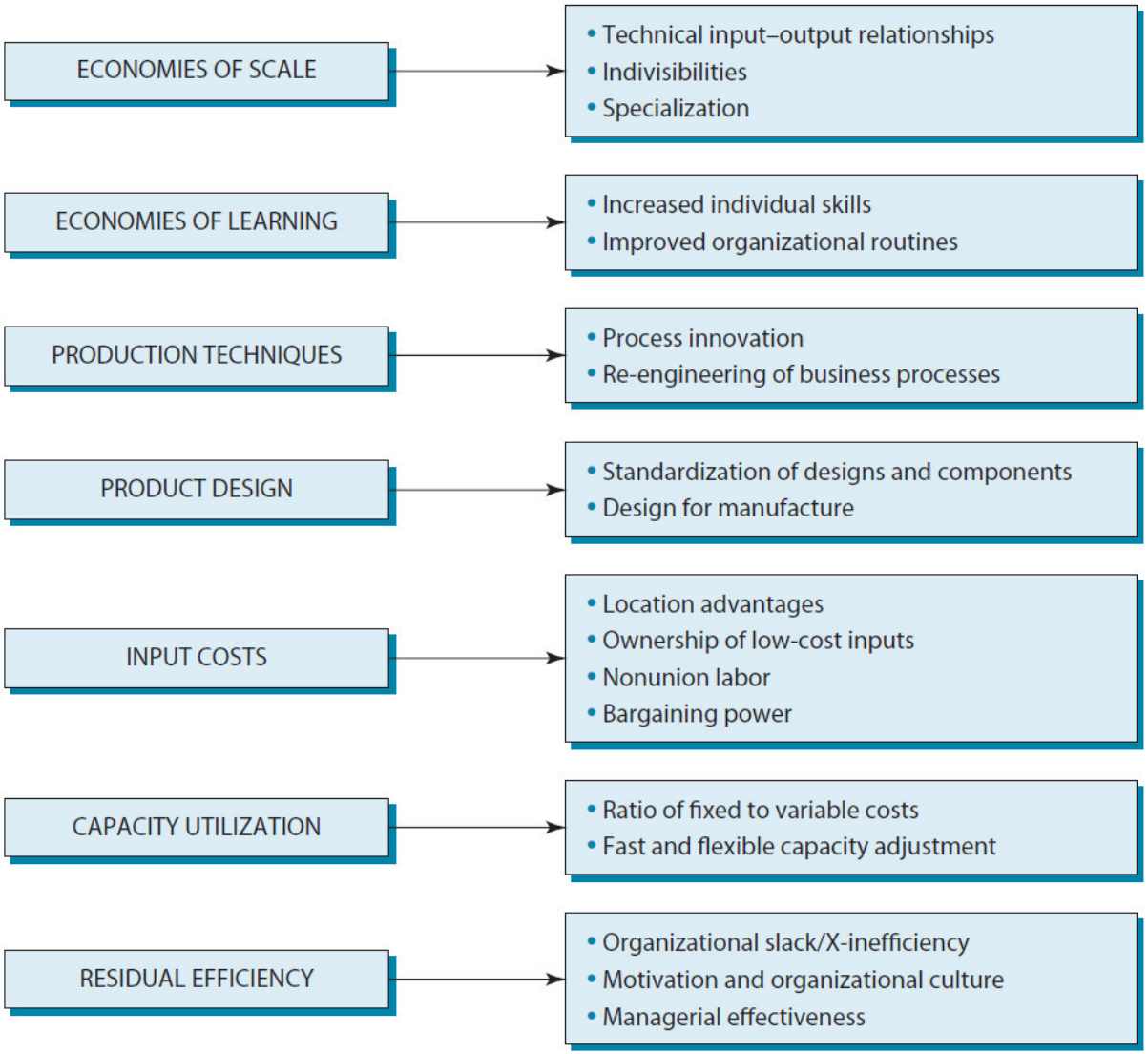
## PORTER´S VALUE CHAIN TO IDENTIFY COST REDUCTION




**Stages of the analysis**:

1. Identify the main value chain activities
2. Allocate total costs between value chain activities
3. Identify the cost drivers at each stage of the value chain
4. Identify linkage between activities
5. Identify opportunities for cost reduction

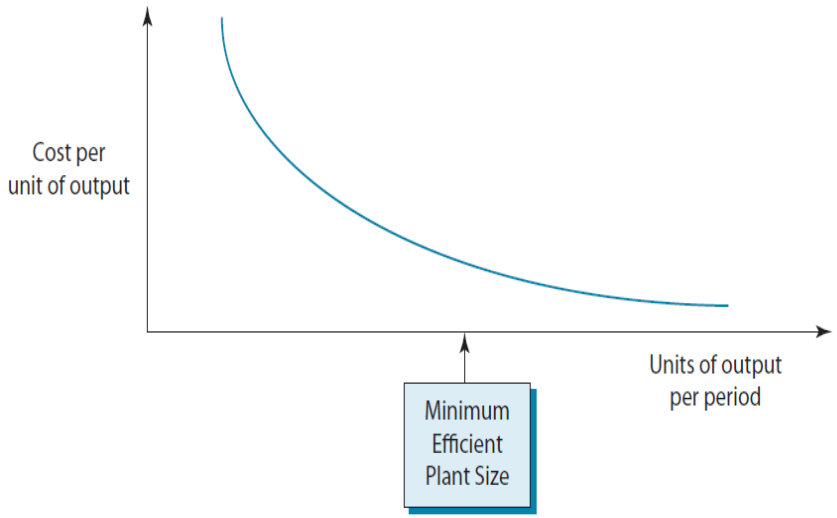
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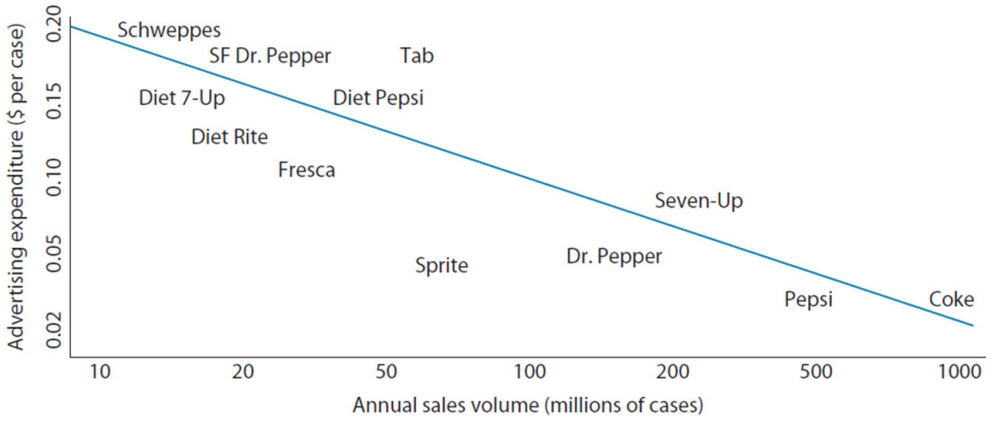



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# 1. ECONOMIES OF SCALE

The proportional increases in the amount of inputs used in the production process result in a lower unit cost.

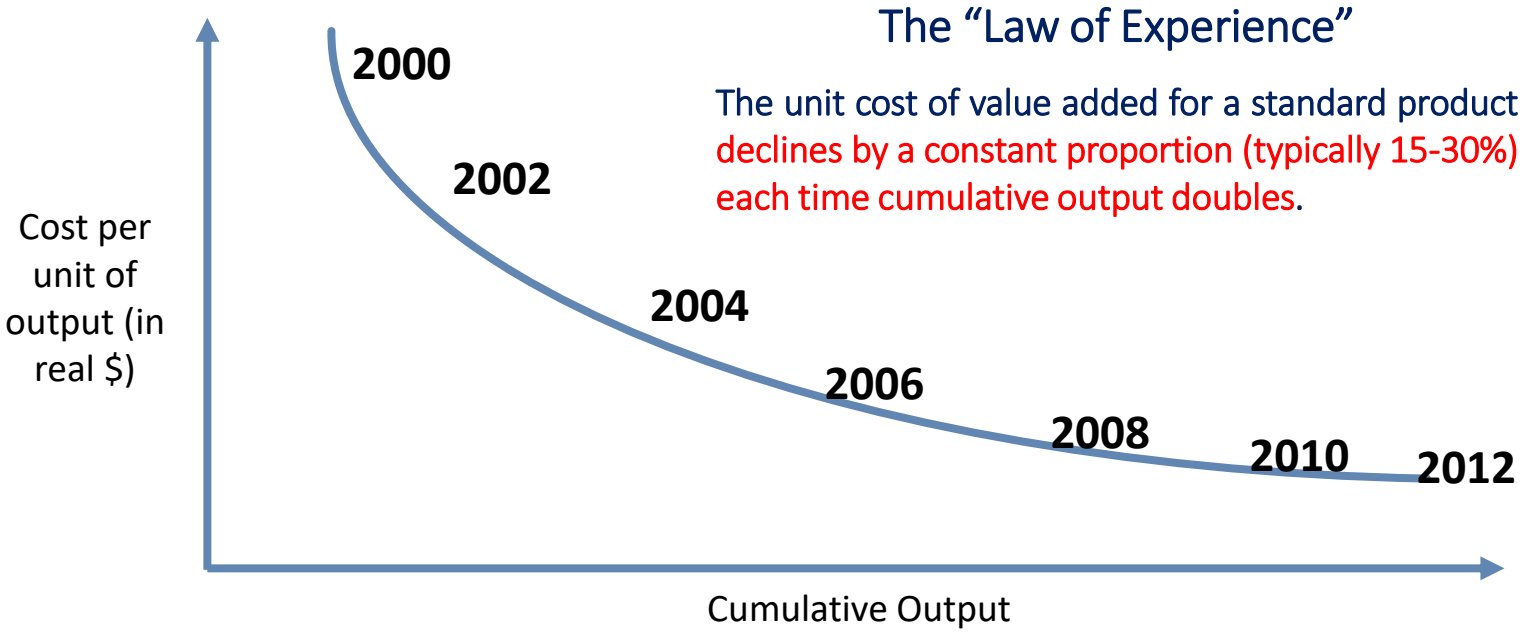



- **Individualized**: Spread the same cost over a larger volume of output.
  *E.x. Marketing effort or R&D.*
- **Specialization**: Increase the scale permits greater specialization. Increase the specialization of tasks, workers and equipment.
  *E.x.: Ford (at the beginning); Management Consulting; Legal services…*
- **Technical input-output**: Increase in output don´t mean proportional increase in input. *E.x.: 5 tons barrel isn´t 5 times more expensive than a 1 ton barrel.*

## 2. ECONOMIES OF LEARNING

1. Increase of individual skills + coordination team work
2. More complexity → More economies of learning Ex.: Building airplanes




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## 3. PRODUCTION TECHNIQUES

The correct design of processes and incorporating technology are two of the main catalysts for the reduction of costs in organizations. There are three elements that favor:

1. **Mechanization and automation of processes**. The intensive use of machinery is able to reduce costs in most processes and prevents operators from performing repetitive activities of little value added. Ex .: automotive sector.
2. **The efficient use of materials**. Using technology supported by human knowledge is achieved to maximize the materials and therefore reduce waste (time, materials, etc.)
3. **Organizational accuracy**. By production techniques the organization can adjust to maximize the accuracy of organizational processes to avoid costs.

- **Just in time** → Reduce financial costs and storage
- **Lean thinking** → Reduces several types of costs (ex. Organization team)
- **Total quality / Six Sigmma** → Reduces costs of poor quality.
- **Process reengineering** (*Hammer and Champy*).

## 4. PRODUCT DESIGN

A well design product or service may reduce a lot of costs.

- **Facilitate automation**. The way in which a product or providing a service that is supported by automating processes within the design.

*Ex .: The bottles and cans have at the base a recess to facilitate packaging mechanization.*

- **Reduce the cost of materials**. Through good product design can reduce the consumption of materials, waste recycling system or material.

*Ex. The cans have been reduced to half its thickness in the last 30 years, they are recyclable aluminum and just wasted in their manufacture.*

- **Assembly cost reduction**. Design a product for simplifying assembly and manufacturing process so that fewer resources are used for processing.

*Ex .: The cars each assembly are made with fewer parts. It is the supplier who has to deliver the semi-mounted.*

## 5. INPUT COSTS

The cost of resources used to manufacture the products or services directly impacts the cost.

- Location advantages. The resources have close or that the cost of transporting or using the input is reduced.

*Ex.: Silicon Valley using Standford´s IT engineers; Ceramic Industry in Castellón using Teruel´s clay.*

- Take ownership of low-cost inputs. Take ownership not only reduces the purchase price for the lack of intermediaries, but also reduces the costs associated with inefficiencies of coordination with outside companies.

- Having a strong bargaining power. Used to force the price/quality ratio. Note that it must be sustainable in the medium-long term.

- Cooperation with suppliers or integration into the value chain.

## 6. CAPACITY UTILITATION

- Increasing the production capacity to its maximum.

This cost reduction is the larger if the proportion of fixed costs/variable costs is high.

- Reducing excess capacity.
- Flexible resources to adapt quickly to changes in the environment.
- Reducing installation costs. This reduces the barriers to entry and exit from the sector.

## 7. RESIDUAL (ORGANIZATIONAL EFFICIENCY)

- Organization Design. Reduce the corporate areas, flat structures and avoid redundant areas.

- Organizational laxity. Over time organizations create laxity in costs. You are maintained over time out of habit or convenience, but provide very little value to the company.

- Organizational Culture and Leadership. Leader values such as austerity or transmitted luxury corporate values and therefore the organizational culture.

  Ex. IKEA → Ingvar Kamprad.



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# DRIVERS OF DIFFERENTIATION

DEFINITION: *"Providing something unique that is valuable to the buyer beyond simply offering a low price"* (M. Porter)

KEY ISSUE: **Creating value for the customer**

**TANGIBLE DIFFERENTIATION**

Observable, product characteristics:

- Size, color, materials, etc.
- Performance
- Packaging
- Complementary services

**INTANGIBLE DIFFERENTIATION**

Unobservable and subjective characteristics that appeal to the customer's *image, status, identity and desire for exclusivity*

**TOTAL CUSTOMER RESPONSIVENESS**

Differentiation not just about the *product*, it embraces the whole *relationship* between the supplier and the customer.

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## Sources of uniqueness:

- Product features and product performance
- Complementary services (such as credit, delivery, repair)
- Intensity of marketing activities (advertising; promotion)
- Technology embodied in design and manufacture
- Quality of purchased inputs
- Procedures that impact the customer experience (e.g. the, rigor of quality control, service procedures, frequency of sales visits)
- Skill and experience of employees
- Location (for example, with retail stores)
- Degree of vertical integration (allow control over inputs and intermediate processes).

## PRODUCT vs. VALUES INTEGRITY CHECK

Key to differentiation is consistency of all aspects of the firm's relationship with its customers

- **Product integrity:** The *total balance of product features* and value expected

Ex. APPLE products are consistent with the value expected by customers.

- **Internal integrity:** Consistency between the values, *function and structure*.

Ex. One of the values of IKEA is austerity, so the offices of IKEA they are not luxury and also the founder.

- **External integrity:** Fit between the *product* and *consumers' objectives*, values and lifestyle.

Ex. HARLEY DAVIDSON. The product is consistent with the consumer´s lifestyle

# Conclusion
# Cost Leadership vs. Differentiation

| Generic strategy | Key strategy elements | Resource and organizational requirements |
|---|---|---|
| Cost leadership | Scale-efficient plants | Access to capital |
| | Design for manufacture | Process engineering skills |
| | Control of overheads and R & D | Frequent reports |
| | Process innovation | Tight cost control |
| | Outsourcing (especially overseas) | Specialization of jobs and functions |
| | Avoidance of marginal customer | Incentives linked to quantitative target accounts |
| Differentiation | Emphasis on branding, advertising, design, service, quality, and new product development | Marketing abilities |
| | | Product engineering skills |
| | | Cross-functional coordination |
| | | Creativity |
| | | Research capability |
| | | Incentives linked to qualitative performance targets |

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# Agenda for today

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# Defending competitive advantage (1/2)

- How to protect Competitive Advantage?

1. **Control the Resources and Capabilities of competitors**.
2. **Barriers to imitation**.
   - Protection of knowledge. Either by patents or because not disclosed.
   - Tacit knowledge, as accumulated experience.
   - Unique resources.
   - Corporate culture
   - Image / information / Brand
   - Legal or administrative restrictions.
3. **Follow the Dynamism of the industry**.
   - Evolving dynamic environments.
   - Strengthen competitive advantage.
   - Get new competitive advantages.

# Defending competitive advantage (2/2)

***Strategies to avoid imitation***

*1º) Rivals recognize a firm's CA*

*2º) Rivals have an incentive for imitating*

*3º) Rivals must be able to understand the source of a firm's CA*

*4º) Rivals must be able to acquire necessary resources and capabilities*

| *REQUIREMENT FOR IMITATION* | *ISOLATING MECHANISM* |
|---|---|
| Identification | • Obscure superior performance |
| Incentives for imitation | • Deterrence: signal aggressive intentions<br>• Pre-emption: exploit all available opportunities |
| Diagnosis | • Use multiple sources of competitive advantages to create *causal ambiguity* |
| Resource acquisition | • Base competitive advantage upon resources and capabilities that are immobile and difficult to replicate |

*Remember session on resources and capabilities?*

| | | Ex-post Entry Barriers | |
|---|---|---|---|
| | | Aggressive (Retaliation) (Spanish: "Represalias") | Accommodating |
| Ex-ante Entry Barriers | High | Top Dog | Fat Cat |
| | Low | Lean & Hungry | Puppy Dog |

## TOP DOG

**Difficult for new entrants**

- Usually dominated by big firms
- *Price Wars + Economies of scale.*

*E.x.: **Pharma** if there is possibility of competition - high advertising expenses, but they don´t compete in generic pharma E.g.: Paracetamol*

## FAT CAT

**Entry tough but less competitive than Top Dog**

- Usually dominated by big firms
- *No Price Wars + Economies of scale*
- *E.x.: Construction, Luxury Goods, etc.*

## LEAN & HUNGRY

**Entry is easy, but sector is highly competitive**

- Post-entry behavior of a company is aggressive
- Low level of entry barriers
- The incumbent retaliates when it sees the entrance of a new player.
- This implies competition will increase in the market. *E.x.: McDonads, News papers, …*

## PUPPY DOG

**Accommodating to the new entrant**

- the post-entry behavior of a company is accommodating
- there is a low level of entry barriers in the market.
- Competition will not increase in the market.

*E.x.: software / app – service*

**POST-ENTRY BARRIERS**

| EX-ANTE BARRYERS | AGRESSIVE | ACCOMODATING |
|---|---|---|
| HIGH | TOP DOG | FAT CAT |
| LOW | LEAN & HUNGRY | PUPPY DOG |

- **TOP DOG:** This strategy implies that the post-entry behavior of a company is aggressive, and there is a high level of entry barriers in the market. The incumbent retaliates when it sees the entrance of a new player.
- **FAT CAT**: This strategy implies that the post-entry behavior of a company is accommodating, and there is a high level of entry barriers in the market. The incumbent does not retaliate when it sees the entrance of a new player, as **they know the entering competitor will also be accommodating.**
- **LEAN & HUNGRY**: This strategy implies that the post-entry behavior of a company is aggressive, and there is a low level of entry barriers in the market. The incumbent retaliates when it sees the entrance of a new player. **This implies competition will increase in the market.**
- **PUPPY DOG**: This strategy implies that the post-entry behavior of a company is accommodating, and there is a low level of entry barriers in the market. The incumbent does not retaliate when it sees the entrance of a new player. **This implies competition will not increase in the market**

## Complementary docs:

Differentiation: Marketing (Phillip Kotler)
**Philip Kotler: Marketing**
https://www.youtube.com/watch?v=sR-qL7QdVZQ



# Thanks a lot!

# Any questions?

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